

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 2010(I)

Simple Forwarding, Inc.

v.

CULines [sic]and Norton Lilly International

**SPECIALLY APPEARING RESPONDENT C.U.LINES LIMITED’S VERIFIED REPLY
IN SUPPORT OF MOTION TO DISMISS THE COMPLAINT
FOR LACK OF SERVICE OR JURISDICTION**

Specially Appearing Respondent C.U.LINES LIMITED (“Specially Appearing Respondent” or “CUL”) files this Reply to the Response (“Response”) of Complainant Simple Forwarding, Inc. (“Simple Forwarding” or the “Claimant”) to the Motion to Dismiss (“Motion”) filed by CUL. Both the logic and the language of the Response are fairly impenetrable, but we do our best to penetrate the gist of Complainant’s argument. We also identify significant misstatements of fact made by Complainant.

As an initial matter, we note that Complainant improperly asserts that the Motion should be evaluated pursuant to Rule 12(b)(6) of the Federal Rules of Civil Procedure. But the Motion does not seek dismissal for failure to state a claim, but rather makes a factual attack on service and personal jurisdiction. Such motions are properly judged under F.R.C.P. 12(b)(1). *YSN Imports Inc. v. Oberlander*, Docket No. 21-02, 2021 WL 2935838 at 2 (ALJ) (slip op. July 7, 2021); *MAVL Capital v. Marine Transport Logistics*, Docket No. 16-16, 2020 WL 6445041 at *6 (F.M.C. 2020).

Specially Appearing Respondent demonstrated in the Motion that it is not currently a vessel operating common carrier,¹ as that term is defined in the Shipping Act and FMC regulations, and that no service has been effectuated on CUL. Instead, the complaint was apparently mailed to an affiliate of CUL that is itself not an ocean common carrier. Accordingly, CUL is not currently a party to this proceeding and the FMC in any event lacks personal jurisdiction over CUL. Thus, the Complaint must be dismissed as to CUL.

Complainant appears to agree that CUL was not properly served but argues that the party it intended to complain against was served. It identifies its intended Respondent as CULines, which is not the name of any corporation related to CUL, but rather a shorthand reference/trade name, and says it was correctly identified in the Complaint with an address in Shanghai. But the entity named in the Complaint is not CUL, but rather a separately incorporated company named China United Lines Ltd. Complainant does not allege that the two companies are not separately

¹ As demonstrated by the screenprint below, CUL entered the U.S.-foreign trades, by publishing tariff, on June 28, 2021 and withdrew from the trade, by canceling its tariff, on August 1, 2023.

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History					
Org No	H	Name, DBA	Filed	Effective	Expiration
029412	0	C.U. Lines Limited, TPX	6/28/2021	7/8/2021	
029412	1	C.U. Lines Limited, TPX; TPC	8/18/2021	8/18/2021	
029412	2	C.U. Lines Limited, TPX; TPC; TP3	8/23/2021	8/23/2021	
029412	3	C.U. Lines Limited, TPX; TPC; TP3	4/4/2022	4/4/2022	
029412	4	C.U. Lines Limited, TPX; TPC; TP3	4/6/2022	4/6/2022	
029412	5	C.U. Lines Limited, TPX; TPC; TP3	4/6/2022	4/6/2022	
029412	6	C.U. Lines Limited, TPX; TPC; TP3; TPN	4/22/2022	4/22/2022	
029412	7	C.U. Lines Limited, TPX; TPC; TP3; TPN	7/31/2023	7/31/2023	8/1/2023

incorporated entities or that there is any basis to pierce the corporate veil.² Accordingly, by Complainant's own admission, CUL was not served and was not the entity named in the Complaint. So CUL must be dismissed both as the wrong entity and because it was never served.

The only remaining question is whether the corporation that was served -- China United Lines Ltd. -- is an entity subject to the personal jurisdiction of the Commission. The simple answer is that it is not, and never was.

As confirmed by the attached verification of Ashley Xu, China United Lines Ltd. is not an ocean common carrier within the meaning of the Shipping Act and FMC Regulations. As explained in the Motion, an entity must meet *all* of the following criteria in order to be deemed an ocean common carrier:

- It must hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country;
- It must assume responsibility for the transportation of cargo from origin to destination;
- It must use a vessel operating on the high seas to provide such transportation; and
- It must actually operate the vessels by which the transportation is provided.

Starting with the easiest, and uncontested, fact, China United Lines Ltd. does not operate any vessels between the United States and a foreign country. The only affiliated company that has operated vessels in a U.S.-foreign trade is CUL, not China United Lines Ltd. and CUL was neither served nor subject to FMC personal jurisdiction.

² Nor does Complainant suggest that it can file a complaint against a shorthand reference or trade name that might be thought to encompass multiple entities without specifying the intended company, and obviously it may not.

Likewise, China United Lines Ltd. does not take responsibility for the transportation of cargo to/from a U.S. location. This is shown by Respondent's Exhibit A, the Master BOL issued by CUL for the container identified by Complainant in its Response. That BOL, pursuant to which CUL provided transportation services names the ocean common carrier as CUL, **not** China United Lines Ltd. This is determinative.

Furthermore, Complainant prevaricates when it asserts that Complainant's Exhibit A is the "Master Bill of Lading" for the transportation. It is obvious on its face that this bill of lading is a House Bill of Lading, reflecting only the relationship between Complainant and its common carrier – the named NVOCC. This, by itself, shows that there was no relationship or privity between Complainant and CUL. This fact is confirmed by the actual Master BOL issued by CUL (Respondent's Exhibit A), which shows that the shipper and consignee in relation to CUL was not Complainant, but rather entities identified respectively as "World Trade Shipping Limited" [the shipper] and "Aimpacific Services. Inc" [the consignee].

Shipper WORLD TRADE SHIPPING LIMITED FLAT/RM 6, 3/F, WING HANG INDUSTRIAL BUILDING, 13-29 KWAI HEI STREET, *		 B/L No. CULVSHA2106318 SO:	
Consignee AIMPACIFIC SERVICES INC. 2801 BUSINESS CENTER DRIVE, SUITE 270, IRVINE, CA 92612**		C. U. LINES LTD. BILL OF LADING RECEIVED by the Carrier from the Shipper in apparent good order and condition unless otherwise indicated herein, the goods, or the container(s) or package(s) used to contain the cargo herein mentioned to be carried subject to all the terms and conditions provided for on the face and back of this Bill of Lading by the vessel named herein or any substitute at the Carrier's option and/or other means of transport, from the place of receipt or the port of loading to the port of discharge or the place of delivery shown herein and there to be delivered unto order or assigns. If required by the Carrier, the Bill of Lading duly endorsed must be surrendered in exchange for the Goods or delivery order. In accepting this Bill of Lading, the Merchant (as defined by Article on the back hereof) agrees to be bound by all the stipulations, exceptions, terms and conditions on the face and back hereof, whether written, typed, stamped or printed, as far as it signed by the Merchant, are local customs or privileges to the contrary notwithstanding and agrees that all agreements of freight engagements for and in connection with the carriage of the Goods are superseded by this Bill of Lading. In witness whereof, the undersigned, on behalf of China United Lines Ltd. the Master and the owner of the Vessel, has signed the number of Bill(s) of Lading stated above, all of this tenor and date, one of which being accomplished, the others to stand void. (Terms of Bill of Lading continued on the back hereof)	
Notify party(carrier not to be responsible for failure to notify) AIMPACIFIC SERVICES INC. 2801 BUSINESS CENTER DRIVE, SUITE 270, IRVINE, CA 92612**		SHIPPING AGENT REFERENCES (COMPLETE NAME AND ADDRESS) NORTON LILLY INTERNATIONAL INC. 1 SAINT LOUIS ST, SUITE 5,000 - 36602, MOBILE, AL, USA 1-2512193310/CUL-IMPORT@NORTONLILLY.COM	
Ocean vessel / Voy No. A DAISEN 2137E		Pre-carriage by NOTICE: For carriage to or from USA, in accordance with the U.S. Carriage of Goods by Sea Act, incorporated herein, the Carrier's liability hereunder is limited to \$500 maximum per package or per customary freight unit unless the Merchant/Shipper declares a higher cargo value below and pays Carrier's additional freight charges as evidenced by Carrier's Additional Freight Receipt which is a part of this Bill of Lading and must remain annexed to it at all times. Declared Cargo Value US \$	
Port of loading SHANGHAI	Port of receipt SHANGHAI		
Port of discharge LOS ANGELES	Place of delivery LOS ANGELES	Final destination (for the Merchant reference)	
Container No. TWCU8055871 40HC SJJCB214664 305 CARTONS 5838.000KGS 69.530CBM CY-CY	Seal No. Marks and Numbers N/M	Number of containers or packages CY-CY 40HC X 1	Kind of Packages; Description of goods SHIPPER'S LOAD STOW COUNT AND SEAL Gross weight/ Measurement 5838.000KGS 69.530CBM

SEE ATTACHMENT

The only criterion that Complainant attempts to address is the requirement of a holding out. But even if Complainant were correct (which it is not) that its screenshots show a holding out to serve the United States, Complainant would still fail to prove jurisdiction because it has not even suggested that the other, equally necessary, criteria were met, and they clearly were not. But Complainant is wrong in any event. Merely expressing a willingness to serve the United States is not sufficient to be deemed a holding out. For one thing, it is not stated whether China United Lines Ltd. would serve the United States via common carriage or contract carriage. An entity that provides only contract carriage is not an ocean common carrier. Further the website does not say that China United Lines Ltd. will provide the service itself, as opposed to directing a person who inquires to an affiliated company (such as CUL). Finally, Complainant does not identify any real evidence of a holding out to serve United States in common carriage, such as a tariff. As explained

above, CUL withdrew its U.S. tariff in 2023 and China United Lines Ltd. has never published such a tariff.

On top of Complainant's failure to prove that China United Lines Ltd. meets the criteria of an ocean common carrier, it also ignores the dispositive fact that China United Lines Ltd. is nowhere shown on the FMC's website as a current or past ocean common carrier. or as an entity with an organization number. The only entity referred to is CUL, based on its ***past*** service of U.S. origins/destinations.

Accordingly, the FMC lacks personal jurisdiction over China United Lines Ltd., and the complaint must be dismissed as to China United Lines Ltd as well as CUL.

Finally, Complainant spends an inordinate amount of time addressing an argument that CUL did not make. Because CUL is not a party to this proceeding, it did not argue that the Complaint must be dismissed based on the "first" or "direct" purchaser rule. The rule was only mentioned for the sole purpose of illustrating the further difficulties Complainant would face ***if*** the FMC had jurisdiction over the matter (which it does not). We would not address the matter further, except that Complainant has badly misrepresented the cases it discussed.

Complainant first addresses *In Re: [Vehicle] Carrier Services*, 2019 WL 5419475, (FMC Oct. 21, 2019). There, the Commission held that various entities that had filed separate complains were not first purchasers because they "did not allege that they directly purchased services from Respondents." *Id.* at *7. It found other complainants to be first purchasers not, as Complainant says, because they were ocean transportation intermediaries, but because they alleged that "***they paid Respondents directly for vehicle carrier service.***" *Id.* at * 3 (emphasis added).³ Complainant

³ Complainant mischaracterizes the group that was found to be first purchasers as including manufacturers. It did not; rather, the members were all NVOCCs.

here does not (*and could not*) allege that Complainant made any payments at all to CUL, much less directly. Indeed, as discussed above, the Master BOL (Respondent's Exhibit A) and the House BOL (Complainant's Exhibit A) prove that Complainant had no relationship to CUL. The House Bill of Lading demonstrates beyond peradventure that Complainant's relationship was only with its chosen NVOCC, while the Master Bill of Lading proves that the shipper and consignee to which CUL provided services were entities ***other than*** Complainant.⁴

In *Visual Comfort & Co., v. Cosco Shipping Lines Co. Ltd.*, Docket No. 2401 (ALJ 2024), the Presiding Officer allowed VCC to continue as complainant not because it was a first purchaser, which it was not, but because VCC had obtained an assignment of claims from the actual first purchaser, so VCC is now pursuing the assignor's claims for reparations, not its own.

CONCLUSION

For the foregoing reasons, the Complaint must be dismissed with respect to Specially Appearing Respondent CUL and China United Lines Ltd.

Dated July 18, 2024

Respectfully submitted,



⁴ This bill of lading thus proves false Complainant's statement that "Complainant is a Shipper as defined by 46 U.S.C. Section 40102(23), the Consignee on the Master Bill of Lading, and additionally is the OTI for this shipment, and is the party responsible for the disputed charges." Complainant is not a shipper, as it is not designated as either the shipper or the consignee on the Master Bill of Lading (only the House Bill of Lading). Nor could Complainant possibly be the OTI for that shipment, as an NVOCC would have to be shown as shipper on the Master BOL and ocean freight forwarders by definition function as such only in the export trade. Given these relationships, there is no plausible basis for the canard that Complainant was responsible ***to CUL*** for the disputed charges.

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VERIFICATION

I declare under penalty of perjury that the facts stated in the foregoing Reply in Support of Motion to Dismiss are true and correct as of the date stated below to the best of my knowledge.

For C.U.LINES LIMITED:

By: Ashley Xu

Date: 07.17.2024

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CERTIFICATE OF SERVICE

I certify that on this 18th day of July, 2024, a true and correct copy of the foregoing **VERIFIED REPLY IN SUPPORT OF MOTION TO DISMISS FOR LACK OF SERVICE OR JURISDICTION** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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